

Executive Memo — Collections Recovery

Decision: Reject the reported 11% as an operating-efficiency KPI. Recommend **better borrower targeting**, deployed through a randomized next-best-action experiment.

What happened?

Clean successful recovery increased from ■17.03 Cr in Feb to ■18.92 Cr in Mar: **11.1%**. However, recovery per targeted account improved only **1.2%**; account recovery rate moved from 42.1% to 42.7% (0.58 pp, 1.4% relative); recovery per agent-hour improved 5.4%. April then fell 7.4%. This means the 11% is a gross-volume movement, not an 11% efficiency improvement.

Why?

Fact: exact payment duplicates inflate raw successful recovery by ■2.50 Cr. 80.3% of targeting rows fall outside campaign active windows, and 66.7% of calls disagree with vendor timezone. Borrower and agent master tables are also structurally non-unique. These issues invalidate naïve attribution.

Strong evidence: risk×channel targeting outcomes differ. FIELD has the highest observed 7-day paid rate (2.08%); VOICE is lowest (1.67%). The best observed expected recovery per target differs by risk segment: HIGH→FIELD, LOW→VOICE, MEDIUM→SMS, NPA→MIXED. These are observational differences and should not be interpreted as causal channel lift.

■10 Cr recommendation

Deploy the investment to a next-best-action targeting engine using risk, DPD, client and channel history. Randomize treatment vs current policy within DPD×risk×client strata. Primary KPI: 30-day incremental recovery per targeted account. Guardrails: kept-PTP rate, recovery/agent-hour, complaints and cost per ■ recovered.

Financial scenario

Scenario	Uplift	12-mo incremental	ROI after ■10 Cr	Break-even
Downside	3%	■6.53 Cr	-35%	18.4 mo
Base	5%	■10.88 Cr	9%	11.0 mo
Upside	10%	■21.76 Cr	118%	5.5 mo

Base case uses a conservative 5% relative uplift: ■10.88 Cr incremental recovery over 12 months, 9% ROI, break-even 11.0 months. This is a planning assumption, not a measured causal estimate. A directional reassignment of targets to the best observed risk×channel cells suggests ~■0.18 Cr/month potential, but it is subject to selection bias and therefore is not used as the base forecast.

Confidence

High: rejection of the 11% efficiency claim and major data-quality findings. **Medium:** targeting is the best investment direction.

Low-to-medium: exact financial uplift until randomized treatment data exists.